abandoned and money was sanctioned without estimates or even a blueprint.

The railways in India were so capital-rich during this period that Sir Charles Innes in his 1926–27 Budget speech said, "the principal difficulty with which we are now confronted is that of spending the money, that is, of executing rapidly, sanctioned projects". One of the reasons could have been agents overestimating their expenditure.

The Great Depression

The October 1929 Wall Street crash and subsequent economic downturn, the Great Depression, which extended across the world, put paid to the railway's prosperity and it experienced a period of austerity. The 1937 Indian Railway Enquiry Committee chaired by Sir Ralph E Wedgewood investigated the position of Government-owned railways and recommended ways to increase earnings and help the enterprise become stable.

The committee undertook an exhaustive survey of the financial and operational developments since World War I (1914–18) and gave recommendations. These led to greater operational efficiency, including institutionalized publicity, public relations machinery, and development of the Commercial Departments to increase railway earnings. The committee provided a rational basis for the assessment of the railways' depreciation fund. It also made recommendations regarding the Federal Railway Authority, to be formed under the Government of India Act of 1935. The federal section of the Act never came into operation, neither did the proposals. In the end, the Government accepted most of the committee's recommendations.